

DATA

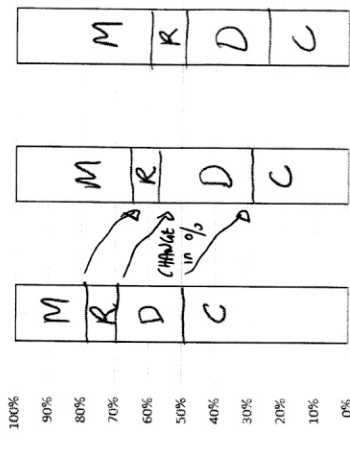
CATEGORICAL DATA

Age in Years	Film Genre					Totals
	Comedy	Drama	Romance	Mystery	Thriller	
21-35	61	24	11	26	122	
36-50	29	30	9	35	103	
51-65	19	21	8	32	80	
Totals	109	75	28	93	305	

Using AGE to explain FILM GENRE PREFERENCE

$\frac{11}{122} \times 100 = 9\%$
 $\frac{26}{103} \times 100 = 25\%$
 $\frac{21}{80} \times 100 = 26\%$

Age in Years	Film Genre					Totals
	Comedy	Drama	Romance	Mystery		
21-35	50	20	9	21	100	
36-50	28	29	9	34	100	
51-65	24	26	10	40	100	



Comment on whether any association between the variables is suggested and write some comments describing the association.

• 30-50 & 51-65 similar % BUT CHANGE in %

In the 21-35 compared to the others.

Change in % → Relationship between Age & preferred film genre.

Associations between two numerical variables

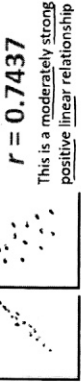
Physics %	32	36	44	48	56	56	64	64	68	76	80	80
Maths %	42	27	60	80	93	76	71	60	98	91	96	76

$\frac{0.5491513}{18.853199}$
 $= 0.7437471$
 $= 0.5531597$

least squares regression line

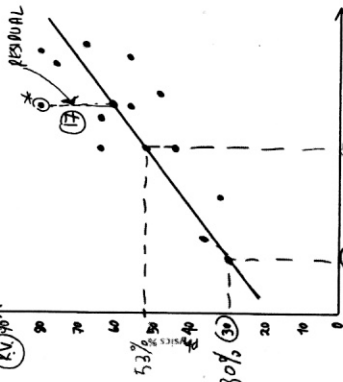
Physics = 0.549 x (Maths) + 18.853

$y = mx + c$



$r = 0.7437$

Using a graph



Using the least squares line

$\rho = 0.549(60) + 18.853$
 $= 53\%$

Interpolation: within the range of the data

$\rho = 0.549(20) + 18.853$

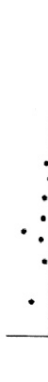
Extrapolation: outside the range of the data

Residuals

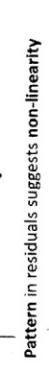
Residual = actual value - predicted value

$\text{Residual} = 80 - (0.549(80) + 18.853)$
 $= 17$ (Above line)

Random pattern in residuals suggests linearity



Pattern in residuals suggests non-linearity



The Coefficient of Determination r^2

$r^2 = 0.5532$ convert to a % 55%
 55% of physics results can be explained by maths results.

ASSOCIATION DOES NOT MEAN CAUSATION

Even though there is a high correlation between the Maths and Physics results we cannot say that a getting a good Maths result will cause you to get a good Physics result.

Seasonally Adjusted

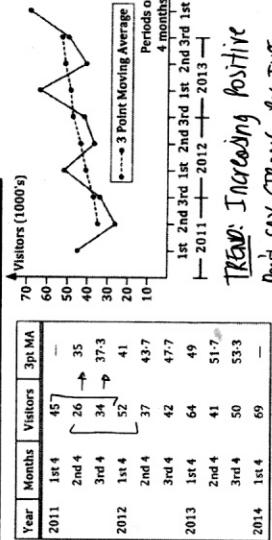
Time Series Data

Year	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007
Percentage	2.6	2.6	2.7	2.8	2.8	2.9	3.1	3.2	3.3	3.4	3.5	3.6	3.6

$\rho = 0.884615$
 $\rho^2 = 0.7804$
 $\rho = 0.884615$
 $\rho^2 = 0.7804$

Moving Averages and Seasonal Effects

ODD POINT MOVING AVERAGES



TREND: Increasing Positive

Don't say STRONG Positive.

EVEN POINT MOVING AVERAGES

Year	2011	2012	2013	2014	2015
1st	45	26	35	37.5	41
2nd	35	34	37.5	41	43.7
3rd	34	37.5	41	43.7	49
4th	37.5	41	43.7	49	51.7
5th	41	43.7	49	51.7	53.3
6th	43.7	49	51.7	53.3	59

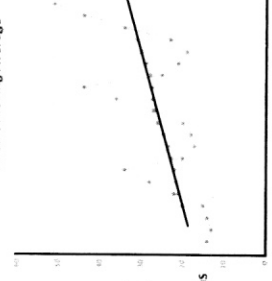
MAKING PREDICTIONS

Using the 7 Point Moving Average

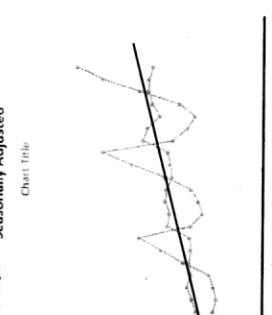
$a = 0.772392$
 $b = 16.840306$

$D = 0.7730n + 16.84$

7 Point Moving Average



$D = 0.7039n + 17.92$
 Gradient Increase in calls per week.



n	Week	Day	No. of Calls	7 pt MA	7 Day Av	Calls as % of 7 day average	Seasonally adjusted calls
1	1	Mon	14			70	18
2	1	Tue	13			65	20
3	1	Wed	14			70	21
4	1	Thu	15			75	20
5	1	Fri	22			110	20
6	1	Sat	28			140	20
7	1	Sun	34			170	20
8	2	Mon	20			77	26
9	2	Tue	17			65	26
10	2	Wed	18			69	27
11	2	Thu	20			77	27
12	2	Fri	27			104	25
13	2	Sat	36			138	26
14	2	Sun	44			169	26
15	3	Mon	25			81	33
16	3	Tue	21			68	33
17	3	Wed	19			61	28
18	3	Thu	23			74	31
19	3	Fri	34			110	32
20	3	Sat	51			142	31
21	3	Sun	51			165	30

Seasonal Indexes	Mon	Tue	Wed	Thu	Fri	Sat	Sun
24%	34%	33%	25%	81%	40%	68%	68%
3 wk mean %	75.86	66.04	66.84	75.37	107.84	140.13	167.92
Seasonal Index	0.76	0.66	0.66	0.75	1.08	1.40	1.68

$A = 14 + 22 + 28 + 34 + 20 + 34 + 20 / 7 = 21$
 $B = 20 + 17 + 18 + 20 + 27 + 36 + 44 / 7 = 26$
 $C = 15 \times 100 = 75$
 $D = \frac{21}{0.66} = 32$
 $E = \frac{70 + 69 + 68}{3} = 0.67$
 $F + 84 + 23 + 11 + 21 + 25 + 44 / 7 = 31$ (F = 44)

Predict the number of calls for Monday week 4

Sunday Week 3 $n = 21$

Monday Week 4 $n = 22$

Week D = 0.7039n + 17.92

D = 0.7039(22) + 17.92

= 33.4

Must undo seasonal effect to get REAL DATA

Real data = Deserialised data × Seasonal Index
 So Monday Week 4 calls = 33.4 × 0.76
 = 25

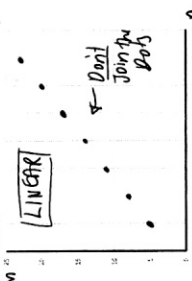
The arithmetic sequence (+)

5, 8, 11, 14, ...

RECURSIVE RULE

$$T_{n+1} = T_n + 3; T_1 = 5$$

Don't forget



GENERAL RULE

$$T_n = 5 + (n-1)3 = 3n + 2$$

Don't forget

Common diff.

$$T_n = 5 + 3n - 3$$

$$T_n = 3n + 2$$

Simplify

An AP has a 50th term of 209 and a 61st term of 253. Find (a) the 1st term and (b) the 71st term.

$$209 = a + 49d$$

$$253 = a + 60d$$

$$253 = a + 240$$

$$a = 13$$

$$T_1 = 13$$

$$T_{71} = 13 + (70)4$$

$$= 13 + 280$$

$$= 293$$

Derek invests \$5000 with a bank and will be paid simple interest at the rate of 4.8% per annum

$$a_{n+1} = a_n + 240$$

$$a_1 = 5000$$

After 5 years

$$T_5 = \$5160$$

SI.

$$a_{n+1} = a_n + 240$$

$$a_1 = 5000$$

4.8% x 5000

$$= 240$$

$$a_{n+1} = a_n + 240$$

$$a_1 = 5000$$

After 5 years

$$T_5 = \$5160$$

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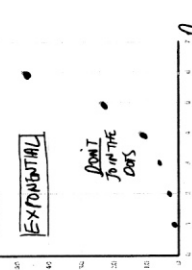
The geometric sequence (x)

1.5, 3, 6, 12, 24, ...

RECURSIVE RULE

$$T_{n+1} = 2T_n; T_1 = 1.5$$

Don't forget



GENERAL RULE

$$T_n = 1.5(2)^{n-1}$$

Common ratio

$$T_1 = 1.5$$

$$T_2 = 3$$

$$T_3 = 6$$

$$T_4 = 12$$

$$T_5 = 24$$

$$T_6 = 48$$

$$T_7 = 96$$

$$T_8 = 192$$

$$T_9 = 384$$

$$T_{10} = 768$$

$$T_{11} = 1536$$

$$T_{12} = 3072$$

$$T_{13} = 6144$$

$$T_{14} = 12288$$

$$T_{15} = 24576$$

$$T_{16} = 49152$$

$$T_{17} = 98304$$

$$T_{18} = 196608$$

$$T_{19} = 393216$$

$$T_{20} = 786432$$

$$T_{21} = 1572864$$

$$T_{22} = 3145728$$

$$T_{23} = 6291456$$

$$T_{24} = 12582912$$

$$T_{25} = 25165824$$

$$T_{26} = 50331648$$

$$T_{27} = 100663296$$

$$T_{28} = 201326592$$

$$T_{29} = 402653184$$

$$T_{30} = 805306368$$

First-order linear (x+)

Given that the sequence 3, 17, 73, 297, 1193, ...

Form of $T_{n+1} = at_n + b$ determine a, b and T_6

$$T_1 = 3, T_2 = 17, T_3 = 73$$

$$17 = 3a + b$$

$$73 = 17a + b$$

$$a = 4 \text{ and } b = 5$$

$$T_6 = 4(1193) + 5 = 4777$$

Each day, 1.5% of the water in a swimming pool is lost due to evaporation. At the end of each day, 1500 litres of water are added to the pool. There are currently 150 000 litres of water in the pool.

$$W_{n+1} = 1.015W_n + 1500$$

$$W_1 = 150000$$

$$W_2 = 152250$$

$$W_3 = 154500$$

$$W_4 = 156750$$

$$W_5 = 159000$$

$$W_6 = 161250$$

$$W_7 = 163500$$

$$W_8 = 165750$$

$$W_9 = 168000$$

$$W_{10} = 170250$$

$$W_{11} = 172500$$

$$W_{12} = 174750$$

$$W_{13} = 177000$$

$$W_{14} = 179250$$

$$W_{15} = 181500$$

$$W_{16} = 183750$$

$$W_{17} = 186000$$

$$W_{18} = 188250$$

$$W_{19} = 190500$$

$$W_{20} = 192750$$

$$W_{21} = 195000$$

$$W_{22} = 197250$$

$$W_{23} = 199500$$

$$W_{24} = 201750$$

$$W_{25} = 204000$$

$$W_{26} = 206250$$

$$W_{27} = 208500$$

$$W_{28} = 210750$$

$$W_{29} = 213000$$

$$W_{30} = 215250$$

$$W_{31} = 217500$$

$$W_{32} = 219750$$

$$W_{33} = 222000$$

$$W_{34} = 224250$$

$$W_{35} = 226500$$

$$W_{36} = 228750$$

$$W_{37} = 231000$$

$$W_{38} = 233250$$

Sequence & Finance

Saving and Borrowing

Simple Interest

What annual rate of simple interest will see an investment of \$8000 earn \$3600 simple interest in 6 years?

$$Solve: 3600 = 8000 \times \frac{R}{100} \times 6$$

$$R = 7.5\%$$

A simple interest arrangement of 5.4% pa sees an initial investment grow to \$11121.60 in 6 years. What was the initial investment?

$$Solve: 11121.60 = P(1 + 0.054 \times 6)$$

$$P = \$8000$$

Compound Interest

\$25000 is invested for 4 years with an annual compound interest rate of 6% pa. Find the amount this account is worth at the end of the 4 years if the compounding occurs

(a) annually, (b) quarterly, (c) daily.

$$(a) \text{ annually: } 25000(1.06)^4 = \$32400$$

$$(b) \text{ quarterly: } 25000(1.015)^{16} = \$33724.60$$

$$(c) \text{ daily: } 25000(1.0006)^{1460} = \$35172.40$$

$$= 35172.40$$

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Loans with Regular Repayments

Loan of \$7000. Interest of 9.4% pa is added annually repays \$800 at the end of each one year period. How much still owing immediately after the \$800 repayment at the end of year 8?

$$T_{n+1} = 1.094T_n - 800$$

$$T_0 = 7000$$

$$T_1 = 7000(1.094) - 800 = 7658$$

$$T_2 = 7658(1.094) - 800 = 8332.72$$

$$T_3 = 8332.72(1.094) - 800 = 9024.44$$

$$T_4 = 9024.44(1.094) - 800 = 9733.29$$

$$T_5 = 9733.29(1.094) - 800 = 10459.32$$

$$T_6 = 10459.32(1.094) - 800 = 11202.68$$

$$T_7 = 11202.68(1.094) - 800 = 11963.41$$

$$T_8 = 11963.41(1.094) - 800 = 12741.61$$

$$T_9 = 12741.61(1.094) - 800 = 13537.41$$

$$T_{10} = 13537.41(1.094) - 800 = 14351.61$$

$$T_{11} = 14351.61(1.094) - 800 = 15184.21$$

$$T_{12} = 15184.21(1.094) - 800 = 16035.21$$

$$T_{13} = 16035.21(1.094) - 800 = 16904.71$$

$$T_{14} = 16904.71(1.094) - 800 = 17792.71$$

$$T_{15} = 17792.71(1.094) - 800 = 18699.21$$

$$T_{16} = 18699.21(1.094) - 800 = 19624.21$$

$$T_{17} = 19624.21(1.094) - 800 = 20567.71$$

$$T_{18} = 20567.71(1.094) - 800 = 21529.71$$

$$T_{19} = 21529.71(1.094) - 800 = 22509.21$$

$$T_{20} = 22509.21(1.094) - 800 = 23506.21$$

$$T_{21} = 23506.21(1.094) - 800 = 24520.71$$

$$T_{22} = 24520.71(1.094) - 800 = 25552.71$$

$$T_{23} = 25552.71(1.094) - 800 = 26602.21$$

$$T_{24} = 26602.21(1.094) - 800 = 27669.21$$

$$T_{25} = 27669.21(1.094) - 800 = 28753.71$$

$$T_{26} = 28753.71(1.094) - 800 = 29855.71$$

$$T_{27} = 29855.71(1.094) - 800 = 30975.21$$

$$T_{28} = 30975.21(1.094) - 800 = 32112.21$$

$$T_{29} = 32112.21(1.094) - 800 = 33266.71$$

$$T_{30} = 33266.71(1.094) - 800 = 34438.71$$

$$T_{31} = 34438.71(1.094) - 800 = 35628.21$$

NETWORKS

Traversing, walks, trails, paths, circuits and cycles

Traversing a graph means starting at a vertex and then moving through the graph along the edges and passing through vertices to finish at another vertex.

There are different ways of traversing

A walk starts at one vertex and follows any route to finish at any other vertex.



A-B-C-D-A

A trail is a walk with no repeated edges.



A-B-C-D-E-G-A-F-E

A path is a walk with no repeated vertices.



A-B-C-D-E-G

A circuit is a walk with no repeated edges that starts and ends at the same vertex. Circuits are also called closed trails.



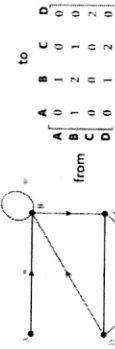
A-B-C-D-E-G-A

A cycle is a walk with no repeated vertices that starts and ends at the same vertex. Cycles are also called closed paths.



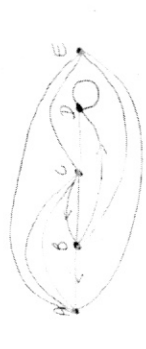
A-B-C-D-E-G-A

Identify the types of walks in the following graphs.



a. Represent the following adjacency matrix A as a graph

A	B	C	D	E
0	0	2	0	1
0	1	0	1	0
2	0	1	1	0
0	0	1	1	0
1	0	1	1	0

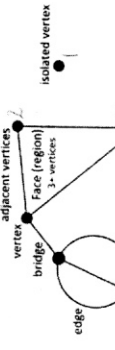
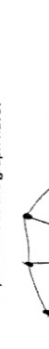
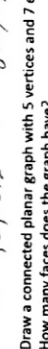
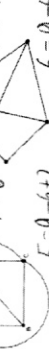
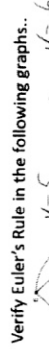
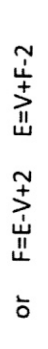
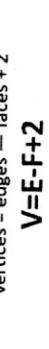
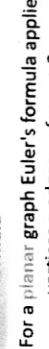


b. Find A² and how many two-step walks from B to C?

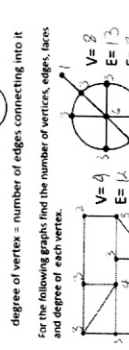
A	B	C	D	E
0	0	2	0	1
0	1	0	1	0
2	0	1	1	0
0	0	1	1	0
1	0	1	1	0

Planar graphs

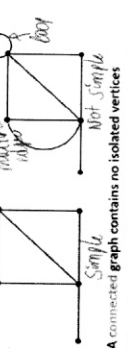
A planar graph can be drawn on a plane or page so that no edges cross over, except at the vertices.



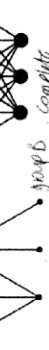
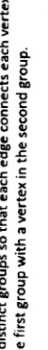
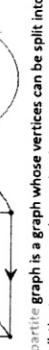
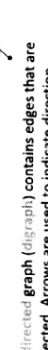
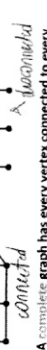
degree of vertex = number of edges connecting it to



Types of graphs

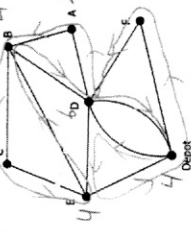


A simple graph contains no loops or multiple edges.



POSTIES VISIT EVERY STREET - EULERIAN

They must determine the best route so that they do not walk along a street more than once. They must start and finish at the central depot.



a. Describe a route that the posties can take.

A-B-C-D-E-F-G-H-I-J-K-L-M-N-O-P-Q-R-S-T-U-V-W-X-Y-Z

b. Explain why this graph is Eulerian and not semi-Eulerian.

All vertices are even

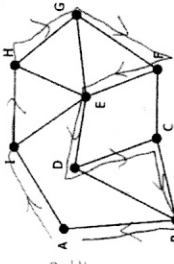
c. If one of the roads connecting the depot with D was closed, would posties still be able to visit every road? (They don't have to return to the depot).

YES - GRAPH IS SEMI-EULERIAN (2 0 0 0)

YES - GRAPH IS SEMI-EULERIAN (2 0 0 0)

SALESMEN VISIT EVERY TOWN - HAMILTONIAN

A salesman is travelling to 8 country towns to sell drugs (legal variety) to local pharmacies. A map of the towns is shown below, with the vertices representing the towns and the edges representing the roads connecting the towns.



The salesman wants to travel from town A to visit every town once on his journey and then return back to town A. What is this walk an example of?

Hamiltonian

b. Describe a route the salesman could take.

A-I-H-G-F-E-D-C-B-A

c. List the edges that the salesman does not travel on.

D-B, C-F, E-G, H-E, I-E

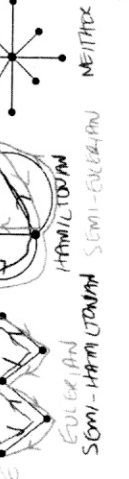
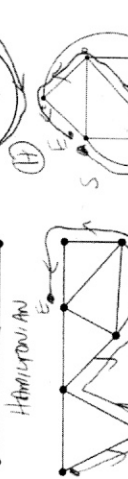
Hamiltonian and semi-Hamiltonian graphs

A path in a graph that visits every vertex in the graph once only, is called a Hamiltonian path

If the path is closed (starts and finishes at the same vertex) it is an Hamiltonian cycle.

If the path is open (starts and finishes at different points) the graph is semi-Hamiltonian.

If the path is open (starts and finishes at different points) the graph is semi-Hamiltonian.



Summary

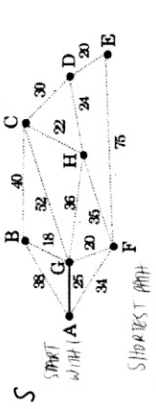
Hamiltonian

Semi-Hamiltonian

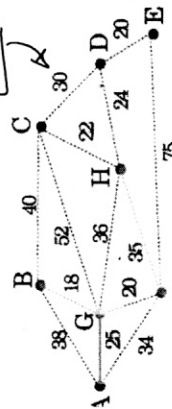
Neither

Minimum spanning trees

SYSTEMATIC APPROACH (Prim's Algorithm)



FROM 4 SHORTEST PATHS IS B E.T.C.



$$\text{Total} = 2E + 20 + 18 + 35 + 22 + 24 + 20 = 144$$

Minimum spanning tree from the distances table

START HERE

	A	B	C	D	E	F	G
A	-	310	550	430	530	330	-
B	-	-	550	430	530	330	-
C	310	550	-	-	350	-	-
D	-	430	-	-	-	210	380
E	300	530	350	-	-	380	360
F	-	330	-	210	380	-	-
G	620	-	-	380	360	-	-

	A	B	C	D	E	F	G
A	-	310	550	430	530	330	-
B	-	-	550	430	530	330	-
C	310	550	-	-	350	-	-
D	-	430	-	-	-	210	380
E	300	530	350	-	-	380	360
F	-	330	-	210	380	-	-
G	620	-	-	380	360	-	-

	A	B	C	D	E	F	G
A	-	310	550	430	530	330	-
B	-	-	550	430	530	330	-
C	310	550	-	-	350	-	-
D	-	430	-	-	-	210	380
E	300	530	350	-	-	380	360
F	-	330	-	210	380	-	-
G	620	-	-	380	360	-	-

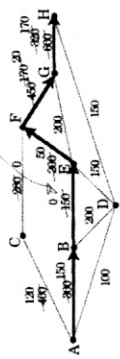
$$\text{Minimum Spanning Tree} = 310 + 300 + 330 + 210 + 380 + 360 = 1890$$

Maximum flow

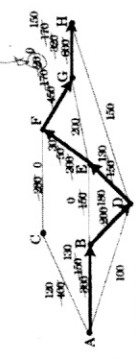
ACFGH can carry max of 280 units



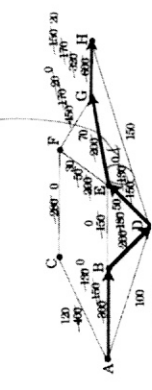
ABEFGH MAX of 150 units



ABDEFGH MAX of 20 units



ABDEFGH MAX of 100 units



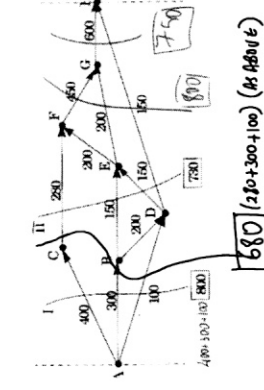
ADH MAX 100 units



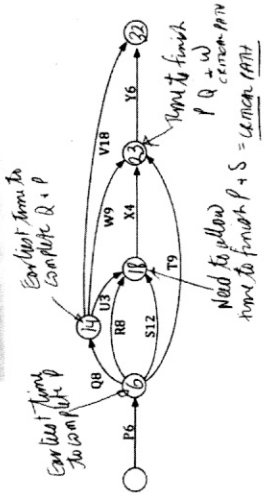
So the Max flow is 680 units

$$280 + 150 + 20 + 130 + 100 = 680$$

CUT FROM TOP TO BOTTOM = TOTAL POSSIBLE FLOW

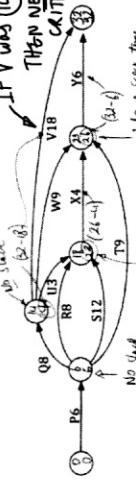


Project Networks



PQ is the CRITICAL PATH for the project.

Float slackness in the system



NO SLACK ON THE CRITICAL PATH

Constructing a project network.

Construct a project network for a project that consists of the following tasks.

Task	Time
A	7 days
B	4 days
C	10 days
D	3 days
E	4 days
F	6 days
G	3 days
H	5 days
I	7 days
J	4 days

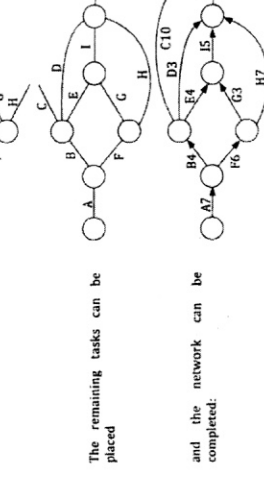
Start the network with those tasks that have no predecessors, in this case task A.

Tasks B and F have A as immediate predecessor:

With B in place tasks C, D and E follow:

Tasks G and H can be placed:

The remaining tasks can be placed



HUNGARIAN ALGORITHM

GETTING A MINIMUM COST

	Load 1	Load 2	Load 3
Firm A	\$100	\$140	\$150
Firm B	\$90	\$170	\$100
Firm C	\$110	\$140	\$130

cost matrix

	100	140	150	-100
100	0	40	50	-10
90	0	80	10	-10
110	0	30	20	-10

Collect row 100

	0	40	50	-10
0	0	40	50	-10
0	0	80	10	-10
0	0	30	20	-10

Collect row 100

	0	10	40	-10
0	0	10	40	-10
0	0	50	0	-10
0	0	0	10	-10

Collect row 100

MIN lines through 2 zeros

3 lines for 3x3 matrix

	10	40	-10
10	0	0	0
40	0	0	0
-10	0	0	0

PICK 0 from EACH ROW

	10	40	-10
10	0	0	0
40	0	0	0
-10	0	0	0

RELATE TO ORIGINAL MATRIX

A task has 1 \$100

B task has 3 \$100

C task has 2 \$140

Total \$310

WHAT IF THE ROWS AND COLUMNS DON'T MATCH

	Conference 1	Conference 2	Conference 3
Manager A	\$1040	\$780	\$2140
Manager B	\$1150	\$560	\$1750
Manager C	\$1780	\$1250	\$1350
Manager D	\$1560	\$790	\$1215

CREATE A DUMMY COLUMN (OR ROW)

THEN GO HUNGARIAN

1040 780 2140 0

1150 560 1750 0

1780 1250 1350 0

1560 790 1215 0